BJP has not yet paid a political price is its relentless focus on keeping inflation down until 2019. Low inflation, mostly below 5 per cent, was probably the single biggest economic achievement of the first Modi government—and the biggest failure of UPA-2. When Rishabh Srivastava and I mapped inflation data, it became clear that inflation had consistently been higher under Congress-led UPA governments than under either the Vajpayee- or Modi-led NDA governments. Under Vajpayee, between 1999 and 2004, the inflation rate went down from 4.67 per cent to 3.77 per cent. Under Manmohan Singh, it went up from 3.77 per cent in 2004 to 10.91 per cent in 2013. During Modi's first term, it went down from 6.3 per cent in 2014 to 3.72 per cent in 2019 (see Figure 10.5). This was especially true for food prices, where hikes arguably hit the poor the hardest. It becomes particularly evident when looking at the difference between food inflation and headline inflation (see Figure 10.6). Under the BJP, this difference was far lower than it was under the Congress (an anomalous 2019 notwithstanding). Under Vajpayee, food inflation went down from 4.3 per cent in 1999 to 2.3 per cent in 2004. Under Manmohan Singh, it went up from 2.3 per cent in 2004 to as much as 13.4 per cent in 2013. Under Modi, it went down from 6.1 per cent in 2014 to -0.4 per cent in 2018, before going up anomalously to 7.5 per cent in 2019.

Economists will tell you that the reason the Modi government managed to keep inflation and food prices down is because of low crude oil prices, which helped to bring down interest rates on everything from home loans to government bonds. That is true. Yet, there is a clear political design in focusing on this metric alone—one that becomes clearer when we look at the record of BJP-run state governments. Between 2014 and 2019, most BJP state governments (where they were in power on their own) kept inflation at a rate lower than the national rate (see Figures 10.7 and 10.8). On average, they kept inflation down to -0.14 per cent below national inflation levels. This included states like Bihar (0.80 per cent), Haryana (-0.38 per cent), Himachal Pradesh (-0.84 per cent), Gujarat (-0.42 per cent), Madhya Pradesh (-0.57 per cent) and Maharashtra (-0.22 per cent). Non-BJP states, in contrast, saw average inflation rates that were 0.16 per cent higher than the national average. To be sure, states